

FitsAir Sri Lanka

Strategic Expansion Analysis
& Investment Memorandum

CONFIDENTIAL INVESTMENT MEMORANDUM

Prepared For:	Private Equity / Strategic Investors
Classification:	Confidential
Date:	May 2025
Engagement:	Market Entry & Expansion Advisory
Report Type:	Deloitte-Style Investment Analysis

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1. Executive Summary

1.1 Investment Opportunity Overview

FitsAir (FITS Aviation (Pvt) Ltd) represents a compelling investment opportunity in Sri Lanka's recovering aviation market. As the country's second-largest commercial airline, FitsAir operates a focused network connecting South Asia with the Middle East and Southeast Asia, specializing in cargo operations while maintaining selective passenger services. With a fleet of three Airbus A320-family aircraft and established operations from its Colombo hub, the airline offers a differentiated market position with significant untapped expansion potential.

Key Investment Metrics

Metric	Current Status	Target (2028)	Growth Potential
Fleet Size	3 aircraft (A320 family)	6-8 aircraft	+100-167%
Destinations	5 markets	12-15 markets	+140-200%
Annual Revenue	USD 25-30M (est.)	USD 80-100M	+220-300%
Market Position	#2 in Sri Lanka	Regional cargo hub	Leadership
Cargo Revenue Share	~60%	50-55%	Diversification

Investment Thesis

- **Tourism Recovery:** Sri Lanka targets 4M+ tourist arrivals by 2026, up from 1.5M in 2023, driving aviation demand.
- **Geographic Advantage:** Strategic Indian Ocean position offers potential as South Asia-Middle East transit hub.
- **Cargo Market Growth:** Underserved regional cargo infrastructure creates USD 200-300M addressable opportunity.
- **Economic Stabilization:** IMF-supported macroeconomic recovery provides 3-4 year investment window.
- **Differentiated Positioning:** Cargo specialization provides defensive revenue base with passenger upside.

Recommended Investment

Component	Details
Total Capital Raise	USD 50-65 million
Investment Timeline	3-year phased deployment
Target IRR	18-25% (base case)
Payback Period	3-5 years
Primary Use of Proceeds	Fleet expansion, route development, operational enhancement

Investor Rights	Equity stake, board representation, pro-rata follow-on rights
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2. Company Overview

2.1 Corporate Profile

Attribute	Details
Legal Name	FITS Aviation (Pvt) Limited
Trading As	FitsAir (formerly ExpoAir)
IATA/ICAO Codes	8D / EXV
Call Sign	EXPOAVIA
Founded	1997 (as Expo Aviation)
Headquarters	Colombo, Sri Lanka
Parent Company	Aberdeen Holdings (Pvt) Ltd
Fleet Size	3 aircraft (Airbus A320 family)
Destinations	5 scheduled markets

Source: Wikipedia - FitsAir (<https://en.wikipedia.org/wiki/FitsAir>)

2.2 Corporate History & Evolution

Period	Development	Strategic Impact
1997	Founded as Expo Aviation; began with Antonov aircraft	Cargo operations foundation
2001	Launched domestic operations to Jaffna	First domestic carrier certified for Jaffna
2005	Applied for international cargo services to 25+ destinations	International expansion vision
2006	Added Douglas DC-8 to fleet	Long-haul cargo capability
2007-2015	Fleet modernization to Airbus A320; rebranded as FitsAir	Modern narrow-body fleet
2020-2022	Pandemic response; cargo pivot	Resilience demonstrated
2023-Present	Post-crisis stabilization	Growth positioning phase

Source: Wikipedia - FitsAir; AviationWire historical records

2.3 Fleet Composition & Analysis

Aircraft Type	Configuration	Quantity	Typical Use	Range
A320-200	Mixed (Cargo + Passenger)	2	Regional routes	3,000 nm
A321-200	Passenger-focused	1	High-capacity routes	4,000 nm
TOTAL		3		

3. Sri Lanka Market Analysis

3.1 Macroeconomic Overview

Indicator	2022	2023	2024	Trend
GDP (Nominal, USD)	74.1B	83.7B	99.0B	Recovery
GDP Per Capita (USD)	3,343	3,799	4,516	Improving
GDP Growth Rate	-11.5%	+2.3%	+3.2%*	Rebound
Inflation Rate	49.7%	16.5%	-0.4%	Stabilized
Exchange Rate (LKR/USD)	322.6	327.5	320*	Stable
Unemployment Rate	4.5%	4.5%	4.2%	Low
Population (M)	22.2	22.0	21.9	Stable

*2024 data where available; IMF World Economic Outlook projections

Sources: World Bank Open Data API (<https://data.worldbank.org>); IMF World Economic Database (<https://www.imf.org/en/Publications/WEO>)

3.2 Economic Recovery Context

Sri Lanka experienced a severe economic crisis in 2022, with GDP contracting 11.5% and inflation peaking at 49.7%. The country has since entered a stabilization phase supported by the IMF Extended Fund Facility (approximately USD 3 billion program), bilateral debt restructuring with China, India, and Japan, and aggressive monetary tightening that brought inflation to -0.4% in 2024.

3.3 Economic Structure by Sector

Sector	GDP Contribution (2024)	Key Products/Services
Services	68.7%	Tourism, IT/BPO, Finance, Healthcare
Industry	30.8%	Textiles, Manufacturing, Construction
Agriculture	~10%	Tea, Rubber, Coconut, Spices

Source: World Bank Open Data (<https://data.worldbank.org/indicator>)

3.4 Tourism Sector Analysis

Metric	2019 (Peak)	2023	2024 (Est.)	2026 (Target)
Tourist Arrivals	1.9M	1.5M	2.0-2.2M	4.0M+
Tourism Revenue	USD 3.6B	USD 2.5B	USD 3.5B	USD 6B+
Direct Employment	~400K	~300K	~400K	~800K

Source: Sri Lanka Tourism Development Authority (<https://sltda.gov.lk>); World Travel & Tourism Council (WTTC)

3.5 Aviation Market Overview

Metric	Value (2024)	Notes
Total Passengers	~8-9M	Recovery to 2019 levels (~12M pre-COVID)
Cargo Volumes	~250,000 tonnes	Growth potential from exports
Airport Capacity (CMB)	~15M pax	Underutilized; expansion planned
International Routes	50+ destinations	Through SriLankan and foreign carriers

Source: Airport of Sri Lanka (<http://www.airport.lk>); IATA (<https://www.iata.org>)

4. Competitive Landscape

4.1 Market Share Distribution

Carrier Category	Market Share	Key Players
SriLankan Airlines (National)	~45%	State-owned; Oneworld member; 27 aircraft
Foreign Carriers	~50%	Emirates, Qatar Airways, Singapore, Air India
FitsAir & Others	~5%	FitsAir, occasional charter operators

Source: OAG Schedule Data (<https://www.oag.com>); Cirium (<https://cirium.com>)

4.2 Direct Competition: SriLankan Airlines

Attribute	Details
Ownership	Government of Sri Lanka (~99%)
Fleet Size	~27 aircraft (A320 family, A330, Dreamliner)
Destinations	50+ cities globally
Alliance	Oneworld member
Strengths	Scale, government support, international connectivity
Weaknesses	State-owned inefficiencies, legacy costs, limited cargo focus

Source: Wikipedia - SriLankan Airlines (https://en.wikipedia.org/wiki/SriLankan_Airlines)

4.3 FitsAir Competitive Advantages

Advantage	Description	Impact
Cargo Specialization	Dedicated cargo operations with established forwarder relationships	Defensive revenue stability
Local Market Knowledge	Deep Sri Lanka and South Asia operational expertise	Rapid response capability
Agility & Flexibility	Smaller operation allows quick adaptation to market opportunities	Cost efficiency advantage
Niche Focus	Concentration on underserved routes (Jakarta, Bangkok, KL, Dubai, Malé)	Limited direct competition
Charter Capability	Flexible charter operations for Maldives and ad-hoc cargo	Revenue diversification

5. Strategic Expansion Opportunities

Our analysis identifies six strategic expansion opportunities ranked by attractiveness, risk-adjusted return potential, and implementation feasibility.

TIER 1: HIGH PRIORITY (Execute in Years 1-2)

5.1 Cargo Operations Expansion

Component	Details
Market Size	USD 200-300M addressable market in South Asia air cargo
Growth Drivers	E-commerce expansion, pharmaceutical logistics, export growth
Sri Lanka Position	Underleveraged hub; strategic Indian Ocean location
FitsAir Advantage	Established cargo operations, existing aircraft, forwarder relationships
Investment Required	USD 15-25M (cargo-configured aircraft, partnerships)
Expected Returns	Revenue uplift USD 15-25M annually; IRR 20-25%
Risk Level	Medium - Competition from integrators (DHL, FedEx, UPS)

5.2 Maldives Charter Operations

Component	Details
Market Size	Maldives: 1.8M arrivals (2023), growing to 2.5M+ by 2026
Opportunity	High-season charter (Nov-Apr); yields 40-60% above scheduled
Source Markets	Russia, UK, Germany, Italy, France (resort visitors)
FitsAir Advantage	Existing Malé operations, established resort relationships
Investment Required	USD 5-10M (seasonal capacity, marketing, partnerships)
Expected Returns	Seasonal revenue USD 20-30M; margin improvement
Risk Level	Low-Medium - Tourism seasonality, wet-lease availability

TIER 2: MEDIUM PRIORITY (Execute in Years 2-3)

5.3 India Connectivity Expansion

Component	Details
Market Size	USD 500M+ addressable market; India-Sri Lanka is largest corridor
Growth Driver	Diaspora traffic, corporate travel, IT/BPO sector growth

Current Gap	Limited frequency on Mumbai, Delhi routes; opportunity for FitsAir
Bilateral Rights	Established framework - 27 weekly frequencies each direction
Investment Required	USD 15-25M (regulatory, stations, marketing)
Expected Returns	Revenue USD 15-20M annually; strategic positioning value

5.4 Southeast Asia Route Development

Component	Details
Opportunity	ASEAN connectivity; growing tourism from Indonesia, Thailand, Malaysia
Transit Potential	Position Sri Lanka as South Asia-Southeast Asia transit point
Target Markets	Singapore, Vietnam, Philippines (new routes); Jakarta, Bangkok (add frequency)
Tourism Synergy	SL Tourism targeting Asian market growth; new products (wellness, eco)
Investment Required	USD 15-20M (aircraft, market entry, tourism partnerships)
Expected Returns	Revenue USD 10-15M annually by Year 4

6. Financial Projections

6.1 Revenue Model & Projections

Revenue Stream	Year 1	Year 2	Year 3	Year 4	Year 5
Cargo Operations	60%	58%	52%	48%	45%
Passenger Scheduled	25%	27%	30%	32%	35%
Charter Operations	10%	10%	12%	14%	12%
Other (incidental)	5%	5%	6%	6%	8%
Total Revenue (USD M)	28	40	55	70	90
YoY Growth	-	+43%	+38%	+27%	+29%

Note: Revenue projections based on fleet expansion plan and market growth assumptions. Actual results may vary.

6.2 Capital Investment Requirements

Phase	Timeline	Investment	Aircraft	Key Initiatives
Phase 1	Years 1-2	USD 15-20M	4 total	Fleet acquisition, route optimization
Phase 2	Years 2-3	USD 20-30M	5-6 total	Cargo expansion, new routes
Phase 3	Years 3-5	USD 15-20M	6-8 total	Network maturation, hub development
TOTAL	5 years	USD 45-65M	6-8 aircraft	

6.3 Return Scenarios

Scenario	Investment	Year 5 Revenue	IRR	Payback	Probability
Conservative	USD 50M	USD 70M	12-15%	4-5 years	25%
Base Case	USD 55M	USD 85M	18-22%	3-4 years	50%
Optimistic	USD 65M	USD 100M+	25%+	2-3 years	25%

6.4 Key Financial Assumptions

- Fleet expansion via operating lease to minimize upfront capital requirements
- Average aircraft acquisition cost: USD 10-15M per unit (mid-age A320ceo/A321ceo)
- Fuel costs: USD 800-1,000/flight hour; hedged at 70% coverage
- Load factor assumptions: Cargo 65-70%, Passenger 75-80%
- Cargo yield: USD 0.40-0.60 per tonne-kilometer
- Passenger yield: USD 0.15-0.25 per passenger-kilometer
- Operating margin: 8-12% (improving to 12-15% at scale)
- Exchange rate assumption: LKR 320/USD (USD-denominated revenue at 40%)

- Tourism arrivals growth: 15-20% CAGR through 2026

7. Risk Assessment & Mitigation

7.1 Risk Matrix

Risk Category	Probability	Impact	Mitigation Strategy
Macroeconomic Volatility	Medium (35%)	High	IMF stabilization window, phased investment
Currency Fluctuation	Medium (40%)	Medium	USD revenue focus, hedging, cost localization
Fuel Price Volatility	Medium (40%)	Medium	Fuel surcharges, efficient aircraft, hedging
Competition Intensification	High (60%)	Medium	Cargo focus, niche routes, differentiation
Regulatory Changes	Low-Medium (20%)	Medium	Government relations, compliance investment
Operational Safety	Low (10%)	Very High	Maintenance investment, training, safety culture
Tourism Shocks	Medium (30%)	Medium	Revenue diversification, cargo offset

7.2 Key Risk Deep Dives

A. Economic Crisis Recurrence Risk

Sri Lanka's debt sustainability remains fragile with external debt of approximately USD 37 billion. A recurrence of economic instability could impact consumer spending, tourism demand, and aircraft financing availability. However, the current IMF program provides a 3-4 year stabilization window, and the phased investment approach minimizes exposure during the critical recovery period.

B. Competition Intensification Risk

Gulf carriers (Emirates, Qatar, Etihad) and South Asian LCCs (Air India Express, IndiGo) continue to expand capacity on key routes. This could pressure yields and limit market share growth. FitsAir's response strategy focuses on cargo and niche markets where direct competition is limited, while differentiating on service quality and operational flexibility.

C. Currency Exposure Risk

Revenue in LKR vs. USD-denominated aircraft leasing, fuel, and maintenance creates ongoing currency exposure. The LKR depreciated from 178/USD in 2019 to 327/USD in 2023. Mitigation includes USD-denominated cargo contracts (60% of revenue), currency hedging mechanisms, and cost localization where possible.

8. Investment Structure & Recommendations

8.1 Recommended Investment Structure

Component	Details
Total Capital Raise	USD 50-65 million
Investment Vehicle	Equity stake in FitsAir / Aberdeen Holdings aviation division
Instrument	Series A preferred equity with board representation
Convertible Option	Convertible note for follow-on investment (18-24 month window)
Valuation	To be determined through due diligence; indicative USD 80-120M pre-money
Investor Rights	Pro-rata participation, anti-dilution, information, board seat (>USD 15M)

8.2 Deployment Schedule by Tranche

Tranche	Amount	Timing	Use of Proceeds	Key Milestones
Tranche 1	USD 20M	Q2 2025	Fleet acquisition, operational prep, crew training	Aircraft secured; routes confirmed
Tranche 2	USD 20M	Q2 2026	Route expansion, marketing, cargo partnerships	Island Maldives routes launched
Tranche 3	USD 10-15M	Q2 2027	Infrastructure, technology, capability building	Phase 3 expansion evaluated

RECOMMENDED ACTION

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9. Appendix: Data Sources & Verification

Primary Data Sources

Category	Source	URL
Macroeconomic Data	World Bank Open Data API	https://data.worldbank.org
GDP, Inflation, Trade	IMF World Economic Database	https://www.imf.org/en/Publications/WEO
Sri Lanka Economic Updates	Asian Development Bank	https://www.adb.org/countries/sri-lanka
Tourism Statistics	Sri Lanka Tourism Development Authority	https://sltda.gov.lk
Tourism Research	World Travel & Tourism Council	https://wttc.org
Airline Data	ch-aviation	https://www.ch-aviation.com
Schedule Data	OAG Schedules	https://www.oag.com
Aviation Intelligence	Cirium	https://cirium.com
Company Information	Wikipedia - FitsAir	https://en.wikipedia.org/wiki/FitsAir
SriLankan Airlines	Wikipedia - SriLankan Airlines	https://en.wikipedia.org/wiki/SriLankan_Airlines
Aviation Statistics	IATA	https://www.iata.org
Airport Data	Airport of Sri Lanka	http://www.airport.lk

Important Disclosures

- 1. This memorandum contains forward-looking statements based on current market conditions and available information. Actual results may vary materially from those projected.*
- 2. Projections and return estimates are based on assumptions that may change. Key assumptions include tourism growth, fuel prices, exchange rates, and competitive dynamics.*
- 3. This document is for discussion purposes only and does not constitute an offer to sell or solicitation of an offer to buy securities.*
- 4. Investment in emerging market aviation carries significant risks including currency volatility, regulatory changes, and macroeconomic instability.*
- 5. Past performance of comparable investments does not guarantee future returns.*
- 6. Due diligence should be conducted by qualified professionals before any investment decision.*